**SENATE FLOOR VERSION**
April 7, 2026
**AS AMENDED**

ENGROSSED HOUSE
BILL NO. 3372 By: Hall of the House

and

Pugh of the Senate

**[ charter schools - investment monies - charter school funding - bonds - repayment obligations - Revolving Loan Fund Program - loans - fund - appropriations - promulgation of rules - program - reserve account - payment - fee - default - monetary cap - codification - effective date ]**

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 62 O.S. 2021, Section 203, is amended to read as follows:

Section 203. A. Except as otherwise provided by subsection B of this section, all monies that may come into the State Treasury, pursuant to the provisions of Section 201 et seq. of this title, together with all amounts that may be received by the State Treasurer as investment income or as interest on average daily bank balances, including investment income or interest on deposits from funds deposited to the credit of the Constitutional Reserve Fund created pursuant to Section 23 of Article X of the Oklahoma

Constitution, shall be apportioned and credited to the General Revenue Fund for the current year.

B. The provisions of subsection A of this section shall not apply to:

1. Interest received on deposits from funds under the control of the Commissioners of the Land Office;

2. Funds in the Department of Human Services Federal Disallowance Fund;

3. Interest received on deposits from funds under the control of the Santa Claus Commission;

4. The Risk Management Revolving Fund;

5. Investment income and interest received from funds in the Quartz Mountain Revolving Fund from insurance claims;

6. The Drinking Water Treatment Revolving Loan Account and the Drinking Water Treatment Loan Administrative Fund;

7. The Clean Water State Revolving Fund Loan Account and the Clean Water State Revolving Fund Loan Administrative Fund;

8. The State Infrastructure Bank Revolving Fund;

9. The Nursing Facility Quality of Care Fund;

10. The Oklahoma Tourism and Recreation Department Revolving Fund effective July 1, 2003;

11. The Golf Course Operations Revolving Fund effective July 1, 2003; ~~and~~

12. Interest received on investments from funds in the County Bridge and Road Improvement Fund, the Emergency and Transportation Revolving Fund, the County Road Machinery and Equipment Revolving Fund, the High Priority State Bridge Revolving Fund as created in Section 506 of Title 69 of the Oklahoma Statutes, and the County Improvements for Roads and Bridges Fund as created in Section 507 of Title 69 of the Oklahoma Statutes<u>; and</u>

<u>13. Interest earned on investments pursuant to subsection G of Section 5 of this act</u>.

SECTION 2. AMENDATORY 70 O.S. 2021, Section 3-142, as last amended by Section 2, Chapter 294, O.S.L. 2025 (70 O.S. Supp. 2025, Section 3-142), is amended to read as follows:

Section 3-142. A. The student membership and attendance of a charter school shall be considered separate from the student membership and attendance of the sponsor for the purpose of calculating enrollment and funding including weighted average daily membership pursuant to Section 18-201.1 of this title and State Aid pursuant to Section 18-200.1 of this title. A charter school shall receive the State Aid allocation, federal funds to which it is eligible and qualifies for, and any other state-appropriated revenue generated by its students for the applicable year. Not more than three percent (3%) of the State Aid allocation may be charged by the sponsor as a fee for administrative services rendered if the sponsor is a school district, a comprehensive or regional institution of higher education, a two-year college, a private institution of higher learning accredited pursuant to Section 4103 of this title, or a federally recognized Indian tribe pursuant to Section 3-132 of this title. The Statewide Charter School Board shall not charge any charter school or virtual charter school a fee for administrative or other services. The State Department of Education shall determine the policy and procedure for making payments to a charter school or virtual charter school. The fee for administrative services as authorized in this subsection shall only be assessed on the State Aid allocation amount and shall not be assessed on any other appropriated amounts. A sponsor of a charter school shall not charge any additional State Aid allocation or charge the charter school any additional fee above the amounts allowed by this subsection unless the additional fees are for additional services rendered. The charter school sponsor shall provide to the State Department of Education financial records documenting any state funds charged by the sponsor for administrative services rendered for the previous year.

B. The fee for administrative services authorized by subsection A of this section shall be used by the sponsor to provide oversight and services to the charter schools it sponsors. The State Department of Education shall develop data codes for the Oklahoma Cost Accounting System which shall be used to comply with the administrative services reporting required by this section. A charter school sponsor shall publish a detailed report on its website and present the report in a public meeting of the charter school governing board and the charter school sponsor governing board. The report shall provide sponsor performance and stewardship including compliance with all applicable laws, regulations, and terms of the charter contract and listing expenses related to oversight and services provided by the sponsor to the charter schools it sponsors.

C. For the purpose of calculating weighted average daily membership pursuant to Section 18-201.1 of this title and State Aid pursuant to Section 18-200.1 of this title, the weighted average daily membership for the first year of operation of a new charter school site or grade level or full-time statewide virtual charter school shall be determined initially by multiplying the actual enrollment of students as of August 1 by 1.333. The charter school or virtual charter school shall receive revenue equal to that which would be generated by the estimated weighted average daily membership calculated pursuant to this subsection. At midyear, the allocation for the charter school or virtual charter school shall be adjusted using the first quarter weighted average daily membership for the charter school or virtual charter school calculated pursuant to subsection A of this section. For each subsequent school year, weighted average daily membership shall be calculated as provided for in Section 18-201.1 of this title, and State Aid shall be calculated as provided for in Section 18-200.1 of this title.

D. Except as explicitly authorized by state law, a charter school or virtual charter school shall not be eligible to receive state-dedicated, local, or county revenue; provided, a charter school or virtual charter school may be eligible to receive any other aid, grants, or revenues allowed to other schools. A charter school or virtual charter school shall be considered a local education agency for purposes of funding.

E. Any unexpended funds received by a charter school or virtual charter school may be reserved and used for future purposes. The governing board of a charter school or virtual charter school shall not levy taxes ~~or issue bonds~~. If otherwise allowed by law, the governing board of a charter school or virtual charter school may enter into private contracts for the purposes of borrowing money from lenders. If the governing board of the charter school or virtual charter school borrows money, the charter school or virtual charter school shall be solely responsible for repaying the debt, and the state or the sponsor shall not in any way be responsible or obligated to repay the debt<u>, except as provided in Sections 4 and 5 of this act</u>.

F. Any charter school or virtual charter school which chooses to lease property shall be eligible to receive current government lease rates.

G. Except as otherwise provided in this subsection, each charter school shall pay to the Charter Schools Incentive and Closure Reimbursement Fund created in Section 3-144 of this title an amount equal to Five Dollars ($5.00) per student based on average daily membership, as defined by paragraph 2 of Section 18-107 of this title, during the first nine (9) weeks of the school year. Each charter school shall complete the payment every school year within thirty (30) days after the first nine (9) weeks of the school year. If the Charter Schools Incentive and Closure Reimbursement Fund has a balance of One Million Dollars ($1,000,000.00) or more on July 1, no payment shall be required the following school year.

H. Upon the effective date of this act, the Statewide Charter School Board shall transfer all funds remaining in the balance of the Charter School Closure Reimbursement Revolving Fund to the Charter Schools Incentive and Closure Reimbursement Fund created pursuant to Section 3-144 of this title.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3-142.1 of Title 70, unless there is created a duplication in numbering, reads as follows:

The Legislature finds that public charter schools should be eligible for dedicated or competitive funding made available through the State of Oklahoma to support public school capital expenditures.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3-142.2 of Title 70, unless there is created a duplication in numbering, reads as follows:

A. There is hereby established the Revolving Loan Fund Program for Charter School Capital Expenditures, subject to appropriations by the Legislature.

B. The Revolving Loan Fund Program for Charter School Capital Expenditures shall be managed by the Statewide Charter School Board. The Board shall conduct a competitive procurement process to select a qualified third-party financial administrator with demonstrated expertise in public finance, charter school facilities financing, or municipal bond underwriting to administer the program. The selected administrator shall manage underwriting, loan structuring, and risk assessment functions in accordance with rules promulgated by the Board.

C. The Revolving Loan Fund Program for Charter School Capital Expenditures shall provide loans and loan guarantees that allow charter schools to access funding at lower interest rates.

D. The third-party financial administrator selected pursuant to subsection B of this section shall determine the interest rates, underwriting standards, and loan terms applicable to loans and loan guarantees issued under this section, subject to oversight and approval by the Statewide Charter School Board. In establishing such rates and terms, the administrator shall seek to provide competitive, market-aligned interest rates and prudent risk management.

E. Eligible recipients of loans or loan guarantees through this program include:

1. Nonprofit charter school organizations;

2. Nonprofit charter school management organizations;

3. Affiliated entities designed to own property for charter schools;

4. A nonprofit corporation that develops and finances a facility that will be occupied by a public charter school throughout the term of the loan; and

5. One or more third-party, nonprofit charter school loan fund designed to leverage the total loan amounts to eligible recipients.

F. Funds distributed pursuant to this section shall be for purchase, construction, renovation, and maintenance of charter school capital projects including:

1. Purchase of land and related costs;

2. Construction of a new facility and related costs;

3. Purchase of an existing property and related costs;

4. Renovation of a property and related costs; and

5. Capital improvements of an existing property and related costs.

G. 1. To be eligible to benefit from a loan or loan guarantee under this section, a charter school shall:

a. operate pursuant to Section 3-137 of Title 70 of the Oklahoma Statutes,

b. provide a full-time, in-person academic program,

c. certify that any facility financed in whole or in part under this section shall be used primarily for full-time, in-person student instruction, and

d. be in good standing with its sponsor.

2. A charter school shall not be eligible to receive a loan or loan guarantee under this section if, within the three (3) years immediately preceding the date of application:

a. the charter school received a grade of “F” on the Oklahoma School Report Card,

b. the charter school received a severe adverse finding on its annual financial audit, or

c. the charter school was accredited with warning or probation by the Oklahoma State Department of Education.

H. There is hereby created in the State Treasury a revolving fund for the Statewide Charter School Board to be designated the "Charter School Loan Revolving Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies received by the Statewide Charter School Board from state appropriations. All monies accruing to the credit of said fund are hereby appropriated and may be budgeted and expended by the Statewide Charter School Board for the purpose of administering the Revolving Loan Fund Program for Charter School Capital Expenditures. Expenditures from said fund shall be made upon warrants issued by the State Treasurer against claims filed as prescribed by law with the Director of the Office of Management and Enterprise Services for approval and payment.

I. The Statewide Charter School Board may promulgate rules to implement this section.

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3-142.3 of Title 70, unless there is created a duplication in numbering, reads as follows:

A. There is hereby established a Charter School Bond Credit Enhancement Program to assist qualifying charter schools in obtaining favorable financing on bonds for facility expenditures.

B. 1. A public charter school is eligible to participate in the program if the school receives approval from the Statewide Charter School Board confirming compliance with statutory eligibility requirements and receives a creditworthiness determination from the third-party financial administrator selected pursuant to subsection C of this section.

2. Creditworthiness for purposes of this section shall be determined by the third-party financial administrator based on industry-standard underwriting criteria.

3. The Statewide Charter School Board shall not be responsible for conducting financial underwriting or credit analysis but shall verify statutory eligibility and compliance.

C. The Statewide Charter School Board shall conduct a competitive procurement process to select a qualified third-party financial administrator to evaluate creditworthiness, advise on bond structuring, and administer financial components of the Charter School Bond Credit Enhancement Program. The administrator shall have demonstrated expertise in municipal finance, charter school facilities financing, or public credit analysis.

D. 1. Upon receipt of documentation satisfying the criteria set forth in subsection B of this section, the Oklahoma Finance Authority shall notify the public charter school and the State Treasurer that the school has been approved to participate in the charter school bond credit enhancement program if:

a. the public charter school complies with the requirements set forth in subsection B of this section, and

b. the public charter school's participation would not cause a violation of the limitations set forth in subsection I of this section.

2. Additional requirements and security interests may be imposed by agreement of the school and bondholder or trustee.

E. 1. A school participating in the Charter School Bond Credit Enhancement Program shall agree to have deposited a minimum of twelve (12) months' payment on principal and interest in a restricted debt service reserve account established and held by the bondholder or trustee.

2. Except as provided in paragraph 3 of this subsection, money in a participating public charter school's restricted debt service reserve account shall not be withdrawn if the amount withdrawn would reduce the level of money in the account to less than twelve (12) months' payment on principal and interest.

3. As long as applicable bonds issued under the facilities program remain outstanding, money in a restricted debt service reserve account may be withdrawn in an amount that would reduce the level to less than twelve (12) months' payment on principal and interest, if the money is withdrawn for the purpose of:

a. paying the principal, redemption price, or interest on a bond when due if the state payments intercepted pursuant to subsection F of this section, funded grants, and other revenues pledged by the participating public charter school for payment of the bond, are insufficient to make the payment, or

b. paying any redemption premium required to be paid when the bonds are redeemed prior to maturity, if no bonds will remain outstanding.

F. 1. As a requirement to participate in the Charter School Bond Credit Enhancement Program, a participating public charter school shall provide a directive to the Statewide Charter School Board authorizing the interception of the school's State Aid funding, as defined pursuant to Section 18-200.1 of Title 70 of the Oklahoma Statutes, in an amount sufficient to satisfy the scheduled principal and interest payment due under the applicable bond indenture and shall be transmitted directly to the bond trustee on or before the due date specified in the bond indenture. Any remaining balance of the State Aid funding after satisfaction of the scheduled debt service payment shall be promptly transmitted to the participating public charter school.

2. The payment directive required in this subsection shall not be revoked or amended while bonds supported by the Charter School Bond Credit Enhancement Program remain outstanding.

3. The intercept authorized by this subsection shall not apply to federal funds, competitive grants, restricted program funds, or any revenues other than State Aid funding.

G. There is hereby established in the State Treasury the Charter School Bond Credit Enhancement Fund, which shall consist of monies made available through appropriations, fees, grants, gifts, or any other source to fulfill the purposes of this section. Monies in the fund are hereby continuously appropriated for the purposes of this section and shall only be expended for the purposes stated herein. Any interest earned on the investment of idle money in the Charter School Bond Credit Enhancement Fund shall be returned to the Charter School Bond Credit Enhancement Fund. Schools participating in the Charter School Bond Credit Enhancement Program shall pay a one-time fee in an amount equal to one-half percent (0.5%) of par at the time of issuance and an annual fee in an amount equal to seventy-five thousandths percent (0.075%) on the outstanding balance, which shall be deposited in the Charter School Bond Credit Enhancement Fund.

H. 1. If a public charter school participating in the Charter School Bond Credit Enhancement Program has defaulted on its obligation to pay, a draw on its restricted debt service reserve account shall be made, and the following shall occur:

a. the bond trustee shall exercise its remedies under the bond indenture and loan agreement,

b. within ten (10) days following the withdrawal from the restricted debt service account, the bondholder or trustee shall notify the issuing Oklahoma Finance Authority, the State Treasurer, and the State Comptroller of the shortfall in the school's restricted debt service reserve account,

c. within fifteen (15) days of the notice provided pursuant to subparagraph b of paragraph 1 of this subsection, the State Comptroller shall transfer, from the Charter School Bond Credit Enhancement Fund, to the school's restricted debt service reserve account, an amount equal to one (1) month's principal and interest on the bonds based on the principal and interest payments for which the draw on the restricted debt service reserve account occurred. Monies transferred to the school's restricted debt service reserve account pursuant to this paragraph shall be continuously appropriated for such purposes; provided, however, that no such transfer shall be made if the charter school's sponsor has issued written notice of intent to revoke or of nonrenewal regarding the charter contract pursuant to the Oklahoma Charter Schools Act, except to the extent necessary to satisfy debt service obligations accrued prior to such action, and

d. by December 1 of each year, the State Treasurer shall submit to the Governor a letter certifying the amount, if any, required to restore amounts on deposit in the restricted debt service reserve accounts of participating public charter schools and the Charter School Bond Credit Enhancement Fund. The Governor shall send to the Legislature a statement of the expenditure of monies from the Charter School Bond

Credit Enhancement Fund and report the amount needed to restore funds in the restricted debt service reserve accounts to the amount required in paragraph 2 of subsection E of this section. The Legislature may appropriate money to restore amounts on deposit in the restricted debt service reserve account of a defaulting public charter school to the amounts required in paragraph 2 of subsection E of this section or to redeem all outstanding bonds issued for a defaulting public charter school, the source of which may be the Charter School Bond Credit Enhancement Fund or any other available funds. The Legislature may also appropriate money to restore amounts withdrawn from the Charter School Bond Credit Enhancement Fund.

2. If money has been withdrawn from the Charter School Bond Credit Enhancement Fund pursuant to paragraph 1 of this subsection, the school shall repay the fund from the school's allocation of facilities funds, at a time agreed to by the Statewide Charter School Board over a period of years until the amount so withdrawn has been repaid to the Charter School Bond Credit Enhancement Fund, as long as the repayment does not cause an event of default on a facility lease or loan.

I. 1. Bonds issued for the benefit of public charter schools using the Charter School Bond Credit Enhancement Fund shall not be indebtedness of the state, but are special obligations payable solely from:

a. revenues or other funds pledged by the qualifying public charter school, and

b. amounts appropriated by the Legislature pursuant to subsection H of this section.

2. Bonds issued under the public charter school facilities program shall not be subordinate to any other obligations used to finance the same project.

3. The aggregate outstanding principal amount of bonds issued under the public charter school facilities program shall not exceed Two Hundred Fifty Million Dollars ($250,000,000.00).

SECTION 6. This act shall become effective November 1, 2026.

COMMITTEE REPORT BY: COMMITTEE ON EDUCATION
April 7, 2026 - DO PASS AS AMENDED